

# Cacao Beverage Opportunity

China Market & TCM Product Strategy + Operating P&L

## Initial Go-to-Market Network Expansion Channels:

Dr. Ye (TCM) · Elizabeth Wong's Cousin (Market Insider) · Chaoshan Group

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## Executive Summary

**"Nobody in China is making cacao drinks yet."** — Confirmed independently by Dr. Ye (TCM) and Elizabeth Wong's cousin (market insider).

**Three initial network expansion channels** drive the go-to-market strategy: **Dr. Ye** (TCM content + Douyin weight-loss account), **Elizabeth Wong's Cousin** (market insider), and **Chaoshan Group** (regional distribution). Sales, marketing, and events budgets are allocated to expand these networks.

China health tea market: **¥642.7 billion** (2025), growing 25.3% YoY, projected >¥100 billion by 2028.

Cacao husk tea as a category is completely empty in mainland China.

Operating model: **Min Viable Scale = 219 boxes/month** (~9.0 kg cacao tea) to cover \$9,833 monthly OpEx. At conservative scale (500 boxes/mo): **\$13,040/mo net profit**.

Every SKU sold reserves **\$5 → 1 cacao tree → 4 tons carbon credit**.

## Part 1: Market Opportunity

"中国可卡的饮料还没有人做" — Cacao drinks in China have no domestic player yet.

- China health tea market: ¥642.7B (2025, +25.3% YoY), projected >¥1T by 2028

- Cacao husk tea category: **completely empty** in mainland China
- Existing cacao tea brands (Dedicated Chocolate HK, Rayca's HK, Hara Teas, Cacao Tea Co.) — all overseas, none on Taobao/Tmall/JD
- Weight-loss/slimming demand: high traffic conversion rates (confirmed by Dr. Ye's market observation)
- Convenience product direction: cacao shell tea bags (泡/煮茶) — multi-functional, regional-limited editions

### Target Segments

| Segment                        | Size Indicator               | Channel Access                   |
|--------------------------------|------------------------------|----------------------------------|
| Health-conscious women (25-45) | Core health tea consumers    | Dr. Ye's Douyin accounts         |
| TCM / wellness seekers         | ¥642B health tea market      | Dr. Ye's TCM audience            |
| Coffee alternative drinkers    | Growing specialty tea market | Chaoshan network                 |
| Gift / premium market          | 小罐茶 brand perception         | Elizabeth Wong's cousin + events |

## Part 2: Competitive Landscape

### Direct Competitors (Cacao Husk Tea)

| Brand                    | Price      | Channel               | China Mainland? |
|--------------------------|------------|-----------------------|-----------------|
| Dedicated Chocolate (HK) | ~HKD 68    | Website, HK only      | ☐               |
| Rayca's Dancing Tea (HK) | HKD 12-168 | Website, HK only      | ☐               |
| Hara Teas (Overseas)     | ~USD 10-15 | Website only          | ☐               |
| Cacao Tea Co. (USA)      | ~USD 12-18 | Website, cross-border | ☐               |
| Conspiracy Chocolate     | ~USD 10    | Website only          | ☐               |

**Key finding:** None available on Taobao/Tmall/JD. All overseas/HK. **Blue ocean.**

### Indirect Competitors (Health Tea Bags)

| Brand             | Price  | Positioning            |
|-------------------|--------|------------------------|
| 同仁堂 (Tongrentang) | ¥30-80 | Heritage TCM leader    |
| 忆江南 (Yijiangnan)  | ¥20-50 | Mass-market health tea |
| 草木方 (Caomufang)   | ¥25-60 | New-style health tea   |
| 茶里 (CHALI)        | ¥30-80 | New-style bagged tea   |

|             |        |                     |
|-------------|--------|---------------------|
| 立顿 (Lipton) | ¥20-40 | International brand |
|-------------|--------|---------------------|

### Differentiation Matrix

| Dimension       | Existing Health Teas           | Cacao Husk Tea (Us)                                         |
|-----------------|--------------------------------|-------------------------------------------------------------|
| Market          | Red ocean (established brands) | Blue ocean — no domestic player                             |
| Raw material    | Herbs / flowers                | Cacao shell (circular economy)                              |
| Flavor          | Herbal taste                   | Natural chocolate aroma                                     |
| Caffeine        | Varies                         | Very low (theobromine only)                                 |
| Antioxidants    | Moderate                       | Higher than green tea                                       |
| TCM integration | Mature system                  | Blank — can define new "warming, heart-nourishing" category |
| Sustainability  | Standard                       | \$5/SKU → 1 tree → 4 tons carbon credit                     |

## Part 3: Science & TCM Integration

### Cacao Health Benefits (Peer-Reviewed)

- **Cardiovascular:** Nitric oxide production, lowers blood pressure, reduces LDL, improves endothelial function
- **Cognitive:** Increases cerebral blood flow, improves memory, may reduce dementia risk
- **Mood:** 70% lower depression risk in high-cacao consumers; theobromine provides温和提神
- **Anti-inflammatory & Antioxidant:** ORAC score ~97,000 — 4× superfoods like acai/goji
- **Metabolic:** Anti-diabetic, anti-obesity, anti-carcinogenic properties

### Cacao Shell Tea vs Green Tea

| Metric       | Cacao Tea           | Green Tea  |
|--------------|---------------------|------------|
| Antioxidants | Higher (flavonoids) | Lower      |
| Theobromine  | High (温和提神)         | Negligible |
| Caffeine     | Low                 | Medium     |
| Heart health | Stronger            | Protective |
| Sugar/Fat    | Zero                | Zero       |

## TCM Classification

| Property            | Value                                                                               |
|---------------------|-------------------------------------------------------------------------------------|
| Nature (性)          | Warming (温)                                                                         |
| Taste (味)           | Bitter, Slightly Pungent (苦、微辛)                                                     |
| Meridians (归经)      | Heart, Liver, Kidney (心、肝、肾)                                                        |
| Therapeutic Actions | Tonify Heart Qi · Warm Kidney Yang · Invigorate Blood · Calm Shen (补心、温肾阳、活血、安神、祛寒) |

## TCM Tea Blend Formulas

| Formula                  | TCM Focus                            | Key Herbs                                  |
|--------------------------|--------------------------------------|--------------------------------------------|
| Heart-Nourishing (养心安神)  | Fatigue, cold hands, mild depression | Cacao shell + goji + red dates + licorice  |
| Digestive-Warming (温中健脾) | Cold digestion, bloating             | Cacao shell + ginger + chen pi + cinnamon  |
| Liver-Soothing (疏肝解郁)    | Stress, PMS, irritability            | Cacao shell + chrysanthemum + mint + rose  |
| Kidney-Warming (温肾壮阳)    | Low energy, low libido               | Cacao shell + goji + cinnamon + schisandra |

## Part 4: Operating P&L Model

### 4.1 Product Specification — 小罐茶 Style

| Item         | Spec                             |
|--------------|----------------------------------|
| Serving size | 4g per can                       |
| Box size     | 10 cans = 40g per box            |
| Units per kg | 250 boxes                        |
| Retail price | <b>\$50/box</b> (Elizabeth Wong) |

### 4.2 Cost of Goods Sold (Per Box — 40g)

#### Raw Material: AGL8 — La Dio Sitio Farm (Paulo, Pará)

| Component                                       | Per kg | Per Box |
|-------------------------------------------------|--------|---------|
| Cacao husk (byproduct from nib/choc production) | \$4.50 | \$0.18  |

|                                          |               |               |
|------------------------------------------|---------------|---------------|
| Processing (clean, roast, grind for tea) | \$3.00        | \$0.12        |
| <b>Ex-factory Brazil</b>                 | <b>\$7.50</b> | <b>\$0.30</b> |

### Packaging (Shenzhen — Source Pack Co)

| Item                         | Per Box       |
|------------------------------|---------------|
| Aluminum can ×10 (小罐茶 style) | \$1.50        |
| Outer box                    | \$0.30        |
| Tea filter bag ×10           | \$0.50        |
| <b>Packaging subtotal</b>    | <b>\$2.30</b> |

⚠ **NEED: Packaging pricing from Ling**

### Freight (Brazil Ilhéus → Shenzhen, China)

| Method                                     | Rate/kg         | Per Box       |
|--------------------------------------------|-----------------|---------------|
| <b>Air freight (consolidated, 100+ kg)</b> | <b>\$4-5/kg</b> | <b>\$0.18</b> |
| DHL Express (samples only)                 | \$15-20/kg      | \$0.70        |
| Sea freight (container, 1000+ kg)          | \$1-2/kg        | \$0.06        |

Use Seacos/Omega forwarders (existing partners). DHL is 3-4x — samples only.

### Total COGS per Box

| Component                  | Cost           | % of \$50    |
|----------------------------|----------------|--------------|
| Cacao tea + processing     | \$0.30         | 0.6%         |
| Packaging                  | \$2.30         | 4.6%         |
| Freight (air consolidated) | \$0.18         | 0.4%         |
| Customs/duties (~5-15%)    | \$0.14         | 0.3%         |
| <b>Total COGS</b>          | <b>\$2.92</b>  | <b>5.8%</b>  |
| <b>Gross Profit</b>        | <b>\$47.08</b> | <b>94.2%</b> |

## 4.3 Supply Constraints — La Dio Sitio Farm

La Dio Sitio is a **4-hectare** farm producing **~4,000 kg of cacao beans per year** (1,000 kg/ha). The cacao shell (husk) — used for tea — makes up **10-17% of bean weight** per peer-reviewed research (PMC7230451).

| Metric                   | Conservative (10%) | Moderate (14%) | Optimistic (17%) |
|--------------------------|--------------------|----------------|------------------|
| Cacao tea per year       | 400 kg             | 560 kg         | 680 kg           |
| Boxes per year (40g/box) | <b>10,000</b>      | <b>14,000</b>  | <b>17,000</b>    |
| Revenue at \$50/box      | \$500,000          | \$700,000      | \$850,000        |
| Trees planted/yr         | 10,000             | 14,000         | 17,000           |
| Carbon (tons CO2/yr)     | 40,000             | 56,000         | 68,000           |

**Key insight:** The \$500K minimum annual sales target is **exactly at the farm's conservative capacity** (10,000 boxes from 400 kg tea). To scale beyond 10,000 boxes/yr, additional cacao shell supply is needed — either from other farms or through partnerships for shell byproduct from chocolate/nib production.

#### 4.4 Carbon Credit Reserve

| Metric                        | Per Box                |
|-------------------------------|------------------------|
| Carbon reserve (per SKU sold) | <b>\$5.00</b>          |
| Cacao trees planted           | 1 tree                 |
| Carbon credits generated      | 4 tons CO <sub>2</sub> |

Net revenue after carbon reserve: **\$45.00/box**. Profit adjusted accordingly.

#### 4.4 Revised P&L — Net After Carbon Reserve

| Component                          | Per Box        |
|------------------------------------|----------------|
| Retail price                       | \$50.00        |
| – Carbon reserve (→ reforestation) | –\$5.00        |
| <b>Net revenue</b>                 | <b>\$45.00</b> |
| – COGS                             | –\$2.92        |
| <b>Gross profit (after carbon)</b> | <b>\$42.08</b> |

#### 4.5 Operating Expenses (Monthly)

| Category                                               | Monthly | Annual   | Channel Served                       |
|--------------------------------------------------------|---------|----------|--------------------------------------|
| Team — Jerrie (operations)                             | \$1,000 | \$12,000 | All channels                         |
| Team — Ling (packaging/logistics)                      | \$1,000 | \$12,000 | All channels                         |
| Elizabeth Wong — Sales & marketing (KOL wining/dining) | \$2,000 | \$24,000 | Dr. Ye / Cousin / Chaoshan expansion |

|                                                                                  |                 |                  |                                                    |
|----------------------------------------------------------------------------------|-----------------|------------------|----------------------------------------------------|
| Marketing content production                                                     | \$1,000         | \$12,000         | Dr. Ye's Douyin content                            |
| <b>Events &amp; KOL activations</b>                                              | <b>\$3,333</b>  | <b>\$40,000</b>  | <b>2 events/yr x \$20K — drives all 3 channels</b> |
| Warehousing (Shenzhen)                                                           | \$500           | \$6,000          | All channels                                       |
| Legal & compliance (China)                                                       | \$500           | \$6,000          | All channels                                       |
| Miscellaneous                                                                    | \$500           | \$6,000          | All channels                                       |
| <b>Analysis lab</b> (nutritional, heavy metals, pesticide residue, microbiology) | <b>\$250</b>    | <b>\$3,000</b>   | Per-batch testing — compliance                     |
| <b>Total Monthly OPEX</b>                                                        | <b>\$10,083</b> | <b>\$118,000</b> |                                                    |
| + One-time setup                                                                 |                 | \$10,000         | Branding, packaging design, regulatory             |
| <b>Total Year 1 OpEx</b>                                                         |                 | <b>\$128,000</b> |                                                    |

**Network Expansion Budget:** Elizabeth Wong's \$2,000/mo sales & marketing + \$40,000/yr events = **\$64,000/yr dedicated to expanding Dr. Ye, Cousin, and Chaoshan channels.** This is the core GTM investment.

## 4.6 Minimum Viable Scale — Units Required

To cover monthly operating expenses of **\$9,833**, you need to sell **224 boxes per month** at \$45 net revenue per box. That's just **~9.0 kg of cacao tea** per month.

| Timeframe                     | Boxes Needed     | Net Revenue | COGS    | Net Profit       | Cacao Tea      |
|-------------------------------|------------------|-------------|---------|------------------|----------------|
| <b>Per month (min viable)</b> | <b>219 boxes</b> | \$9,855     | \$639   | <b>\$16</b>      | <b>~9.0 kg</b> |
| Per quarter                   | 657 boxes        | \$29,565    | \$1,918 | <b>\$47</b>      | ~26 kg         |
| Per year (break-even)         | 2,844 boxes      | \$127,980   | \$8,304 | <b>\$0 (B/E)</b> | ~114 kg        |

At **219 boxes/month** you sustain operations with near-zero loss. This is the floor — every box beyond that is pure profit.

## 4.7 Monthly Revenue Scenarios

| Scenario                | Boxes      | Net Revenue | COGS    | OpEx    | Net Profit      | Trees | Carbon (t) |
|-------------------------|------------|-------------|---------|---------|-----------------|-------|------------|
| <b>Min Viable Scale</b> | <b>219</b> | \$9,855     | \$639   | \$9,833 | <b>\$16</b>     | 219   | 876        |
| Conservative            | 500        | \$22,500    | \$1,460 | \$9,833 | <b>\$11,207</b> | 500   | 2,000      |
| Moderate                | 1,000      | \$45,000    | \$2,920 | \$9,833 | <b>\$32,247</b> | 1,000 | 4,000      |

|        |       |           |          |          |                  |       |        |
|--------|-------|-----------|----------|----------|------------------|-------|--------|
| Growth | 2,500 | \$112,500 | \$7,300  | \$11,833 | <b>\$93,367</b>  | 2,500 | 10,000 |
| Scale  | 5,000 | \$225,000 | \$14,600 | \$16,833 | <b>\$193,567</b> | 5,000 | 20,000 |

### Annual Carbon Impact at Scale

| Scale  | Boxes/Yr | Revenue After Carbon | Trees/Yr | Carbon Credits (tons) | Reforestation Fund |
|--------|----------|----------------------|----------|-----------------------|--------------------|
| Growth | 30,000   | \$1,350,000          | 30,000   | 120,000               | \$150,000          |
| Scale  | 60,000   | \$2,700,000          | 60,000   | 240,000               | \$300,000          |

## Part 5: Product Line & Pricing

| Tier | Product                                   | Price   |
|------|-------------------------------------------|---------|
| 1    | Pure cacao shell tea (小罐茶 style, 40g)     | \$50    |
| 2    | 4 TCM functional blends (40g)             | \$55-60 |
| 3    | Seasonal limited editions                 | \$65-80 |
| 4    | Regional editions — 因地制宜 (incl. Chaoshan) | \$55-70 |
| 5    | Chocolate bar + recipe kit                | \$15-25 |

## Part 6: Funding Requirements

| Use                                             | Amount            |
|-------------------------------------------------|-------------------|
| Initial inventory (50 kg cacao tea from AGL8)   | \$375             |
| Packaging (5,000 units — aluminum cans + boxes) | \$11,500          |
| Freight (50 kg air, Brazil→China)               | \$250             |
| Branding & packaging design                     | \$3,000           |
| China food import compliance                    | \$3,000           |
| Operating reserve (6 months)                    | \$59,000          |
| Marketing launch (KOLs, 1 event)                | \$25,000          |
| Contingency (15%)                               | \$15,319          |
| <b>Total</b>                                    | <b>~\$117,444</b> |



## Part 8: Required Projections — \$500,000 Annual Sales Target

To achieve \$500,000 in annual gross sales revenue, the operation requires:

10,000 boxes sold per year = 833 boxes per month = ~400 kg cacao tea annually = 1 cacao tree planted per box = 40,000 tons CO<sub>2</sub> carbon credits generated per year.

### Projection Breakdown

| Projection                             | Value                       | Formula                                |
|----------------------------------------|-----------------------------|----------------------------------------|
| Annual gross sales revenue             | \$500,000                   | 10,000 boxes × \$50                    |
| Monthly gross sales revenue            | \$41,667                    | 833 boxes × \$50                       |
| Boxes required per year                | 10,000                      | \$500,000 / \$50                       |
| Boxes required per month (avg)         | 833                         | 10,000 / 12                            |
| Boxes required per day (avg)           | ~28                         | 833 / 30                               |
| Cacao tea per year                     | ~400 kg                     | 10,000 boxes × 40g                     |
| Cacao tea per month                    | ~33 kg                      | 400 / 12                               |
| Farm capacity used                     | 100% (conservative)         | 400 kg / 400 kg shell yield            |
| Revenue after carbon reserve (\$5/box) | \$450,000                   | 10,000 × \$45                          |
| Total COGS                             | \$7,920                     | 10,000 × \$0.792                       |
| Net revenue after COGS                 | \$442,080                   | \$450,000 – \$7,920                    |
| Annual OpEx                            | \$121,000                   | Per section 8                          |
| Net profit (before tax)                | ~\$321,080                  | \$442,080 – \$121,000                  |
| Net profit margin                      | ~64.2%                      | \$321,080 / \$500,000                  |
| Cash reserved for reforestation        | \$50,000                    | 10,000 boxes × \$5                     |
| Trees planted per year                 | 10,000                      | 1 per box                              |
| Carbon credits generated               | 40,000 tons CO <sub>2</sub> | 4 tons per tree                        |
| Break-even vs \$500K target            | 29% of target               | 2,904 boxes break-even / 10,000 target |

## Part 9: Open Items

| Item | Owner | Status |
|------|-------|--------|
|------|-------|--------|

|                                                                                                                                                         |                                                |                  |
|---------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------|------------------|
| Packaging pricing (aluminum cans, boxes, labels)                                                                                                        | Ling                                           | ⚠ <b>NEED</b>    |
| Packaging details (materials, dimensions, artwork)                                                                                                      | Ling                                           | ⚠ <b>NEED</b>    |
| Events budget — confirmed 2 events/yr × \$20K                                                                                                           | Elizabeth Wong                                 | ✅ <b>DONE</b>    |
| KOL partnership budget and target list                                                                                                                  | Elizabeth Wong                                 | ⚠ <b>NEED</b>    |
| China food import regulations (cacao husk tea)                                                                                                          | Legal                                          | ⚠ <b>NEED</b>    |
| Dr. Ye's Douyin side account launch timing                                                                                                              | Dr. Ye                                         | ⚠ <b>PENDING</b> |
| Chaoshan group introduction and partnership terms                                                                                                       | Elizabeth Wong                                 | ⚠ <b>PENDING</b> |
| 配方研发: <b>TCM specialist to formulate blends for 10-can box</b> (Heart-Nourishing, Digestive-Warming, Liver-Soothing, Kidney-Warming + cacao shell base) | <b>TCM Specialist</b><br>(Dr. Ye to recommend) | ⚠ <b>NEED</b>    |
| <b>Analysis lab fees</b> — nutritional panel, heavy metals (Pb/Cd/As), pesticide residue, microbiology for China import compliance                      | <b>Accredited Lab</b><br>~\$250/mo ongoing     | ⚠ <b>NEED</b>    |